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Agriprocessors, JBS-Swift, Smithfield

A May 12, 2008 ICE raid at Agriprocessors in Postville in northeastern Iowa resulted in the arrest of 389 workers. Within eight days, 302 of the mostly Guatemalan workers pleaded guilty to federal criminal charges that resulted in five-month sentences. Prosecutors warned them that, if they did not plead guilty, they would be charged with aggravated identity theft for using others' identities to get jobs, which carries a mandatory two-year sentence.

The US Supreme Court in October 2008 heard arguments over whether federal prosecutors can file aggravated identity theft charges against unauthorized foreigners without first proving that the foreigner knew the IDs they used to get hired belonged to some one else. Three appellate courts have ruled that federal prosecutors do not have to determine that unauthorized foreigners knew their false IDs belonged to other people in order to be charged with aggravated identity theft, while three others ruled that prosecutors must prove foreigners knew they were using some one else's identity. A law enacted in 2004 defines aggravated identity theft as knowingly transferring, possessing or using "without lawful authority, a means of identification of another person."

In October 2008, Sholom Rubashkin, the CEO of Agriprocessors at the time of the May 2008 raid, and several managers were charged with harboring unauthorized workers for a profit. Federal officials allege that rumors of the ICE raid prompted Rubashkin to lend \$4,500 to supervisors so they could provide \$200 each to unauthorized workers to purchase false documents and reapply for their jobs under new names. State labor authorities levied nearly \$10 million in fines against Agriprocessors for deducting the cost of protective jackets and other uniforms from workers' wages. In September 2008, the Iowa attorney general brought criminal charges against Agriprocessors for more than 9,300 misdemeanor child labor violations, involving 32 under-age workers (each day of their work was a violation).

On November 4, 2008, Agriprocessors, the largest US supplier of kosher meat, filed for bankruptcy protection, blaming "difficult circumstances involving a raid" for its financial woes. Only 200 workers were employed, down from 800 before the May 2008 raid. Agriprocessors used temp firms to recruit legal workers, including 160 from Palau, Somalis from the Minneapolis area, and homeless people in Texas.

Agriprocessors almost closed in 2004. Senator Tom Harkin (D-IA) intervened to help Agriprocessors get a \$3.3 million USDA grant to expand its sewage plant via a wastewater

assistance program aimed at helping small towns. However, the Agriprocessors plant did not serve Postville, requiring Harkin's intervention for an exemption. Agriprocessors paid \$600,000 in fines in 2006 to settle pollution complaints before the treatment plant was built.

Local leaders said that Agriprocessors hired unauthorized workers, paid among the lowest wages in meatpacking, and fought with state labor authorities and unions; the animal rights group PETA also opposed the kosher method of slaughter. Unions say meatpackers such as Agriprocessors ignore the high costs of turnover when they pay low wages, attract unauthorized workers, and then run into difficulties after immigration raids.

The bankruptcy trustee tried to reopen the plant in December 2008 amid hostile questions from workers who had not been paid before Agriprocessors declared bankruptcy and closed. Many local residents asserted that Postville is worse off today than it was over two decades ago, when Agriprocessors began operations.

The UFCW won an election at a small Agriprocessors plant in Queens, New York on a 15-5 vote on September 23, 2005. The NLRB certified the UFCW as the workers' bargaining representative, but Agriprocessors refused to recognize the UFCW, saying that after the vote it discovered that almost all of the Queens workers were unauthorized and fired them.

The NLRB, citing the 1984 US Supreme Court *Sure-Tan vs. NLRB* decision, ruled 2-1 that Agriprocessors violated labor laws by firing unauthorized workers in retaliation for their pro-union vote. The US Court of Appeals upheld the NLRB, and the US Supreme Court rejected Agriprocessors' appeal in November 2008.

JBS-Somalis. Grand Island, Nebraska, a city of 47,000 with a 2,700 employee JBS-Swift beef-packing plant (JBS bought Swift in 2007), hired Somalis to replace some of the Latinos who were fired or left arrested in a workplace raid in December 2006, and others quit.

Most Somalis arrived in the US as refugees, and JBS attracted them to Grand Island by advertising in stores and newspapers that circulate in Somali neighborhoods in cities such as Minneapolis; some who moved to Grand Island later moved to a Tyson plant in Lexington. As legal workers, the Somali workers are sometimes aggressive in requesting accommodation for their Muslim religion. At a JBS-Swift plant in Greeley, Colorado, some 220 Somalis went on strike to win time to pray when desired; 100 were later fired.

The issue at the JBS-Swift plant in Grand Island was eating dinner during Ramadan, the month when Muslims fast during daylight hours. The normal dinner break for the second shift was 8 or 8:30 pm; the Somalis wanted it moved to 7:30pm, just after sundown. A compromise 7:45 pm dinner break that would also be the end of the shift brought a counter protest by Latinos because they would lose pay for the shorter workday. In the end, the plant did not change its dinner schedule, and 70 Somalis quit.

The United Food and Commercial Workers, which represents the Grand Island workers, says the issue of having employers "reasonably accommodate" religious practices at meatpacking plants is likely to fester if Somalis continue to replace Latinos after raids.

In St. Cloud, Minnesota, Gold'n Plump Poultry in November 2008 agreed to give Somali workers two 10-minute prayer breaks each day and to pay \$365,000 to the EEOC, which will distribute the monies to workers who were disciplined or terminated in disputes over religiously motivated breaks. Gold'n Plump and its employment agency, The Work Connection, also agreed to pay \$1 million in attorneys fees.

Workers at a JBS plant in Hyrum, Utah voted 649-290 on November 19, 2008 to have the UFCW represent them; the Utah plant was the only US- or Brazil-based JBS-Swift plant without a union. Newly hired Hyrum workers earn \$10 to \$14 an hour, which is less than wages at other JBS-Swift plants, and the Hyrum workers pay for work equipment that JBS-Swift provides at no cost at other locations.

Brazilian beef producer JBS sought to buy National Beef Packing Company of Kansas City, Missouri in March 2008. However, the US Department of Justice opposed the JBS's purchase of National in October 2008, saying it would reduce competition and drive up prices for consumers and drive down prices paid to farmers. DOJ did not challenge JBS's efforts to buy Smithfield Beef Group Inc, the fifth largest US beef packer.

JBS bought Swift in 2007. Swift cited the December 2006 raids on its plants as one reason for its economic struggles. Swift's flagship plant is in Greeley, Colorado in Weld county, which has a labor force of 83,000, including 3,000 in food manufacturing. Weld is also Colorado's major farming county, with farm sales of \$1.1 billion in 2002.

The Weld county sheriff and district attorney in October 2008 searched the records of local tax preparers assisting Spanish-speakers to find individuals using false social security numbers. According to the district attorney, the average return among 1,300 suspect tax returns showed \$800 in taxes paid and, because of exemptions and earned income and child care tax credits, about \$2,000 in refunds. A judge in December 2008 ordered "Operation Numbers Game" stopped, seemingly countermanding another judge's order that allowed the sheriff to obtain the returns.

Some reports suggest that, two years after the December 2006 ICE raids of Swift plants, many of the workers arrested have returned, but more now work for cash wages in the underground economy. Workers who were employed in the Swift plant in Hyrum, Utah reported that they are determined to remain in the US despite their inability to return to Swift.

Smithfield-UFCW. The United Food and Commercial Workers Union won an election in December 2008 on a 2,041-1,879 vote (52-48 percent) to represent workers at Smithfield Foods' plant in Tar Heel, North Carolina, about eighty miles south of Raleigh. The UFCW lost

elections at Tar Heel, the world's largest pork facility (it processes 32,000 hogs a day), in 1994 and 1997. The National Labor Relations Board in January 2005 found that Smithfield committed numerous unfair labor practices during these campaigns.

The Tar Heel workforce changed recently as a result of more careful checks on worker IDs, which may have contributed to the UFCW victory. The share of Blacks among plant workers rose from 20 percent in 2006 to 60 percent in 2008; wages start at \$10 an hour.

In June 2006, the UFCW launched a "Justice at Smithfield" campaign to publicize the organizing effort, including picketing stores that sold Smithfield products. The UFCW asked Smithfield to recognize the UFCW as bargaining representative under a card-check procedure.

In October 2007, Smithfield sued the UFCW under the Racketeer Influenced and Corrupt Organizations Act, alleging that the campaign was an "unlawful scheme to extort an agreement from Smithfield." A federal judge in October 2008 set the RICO case for trial under state laws that ban extortion, which would have tested the legality of union tactics such as publicity, litigation, administrative complaints, and lobbying to put pressure on employers that resist unions.

The UFCW argued that the NLRA and NLRB regulate union activities that seek to pressure employers, not RICO; the judge disagreed. Just before trial, Smithfield and the UFCW settled the case, with Smithfield promising a fair election process and the UFCW agreeing "to end its public campaign against Smithfield."

Poultry. Pilgrim's Pride, a 48,000-employee poultry processor with 37 plants in the US and Mexico, filed for bankruptcy protection in December 2008. Pilgrim's Pride had \$2.7 billion in debt, much of it assumed when it bought Gold Kist for \$1.1 billion in 2006. In 2008, high feed costs and bad bets on the direction of corn and soybean prices aggravated the company's financial woes.

Tyson Foods lost a bid to overturn a \$1.2 million verdict for a woman who worked five weeks in its Robards, Kentucky poultry processing plant. Amanda West complained of sexual harassment after being hired in January 2005. West quit after five weeks, complaining that Hispanic men harassed her and that her supervisor told her not to complain to the human resources department.

During the exit interview, the human resources manager made notes of West's harassment allegations and lost them. The jury assumed that West would have worked at Tyson for eight years, and awarded her both back and front pay in December 2008.

Tyson in January 2008 agreed to pay a \$500,000 fine for willful and serious violations of health and safety regulations that led to the death of a worker at a poultry rendering plant in Texarkana, Arkansas on October 10, 2003.

Wages. Meatpacking is the largest manufacturing industry in rural America. During the 1980s, many of the meatpacking plants in cities closed, and were replaced by larger plants located closer to the animals being processed. Wages fell from levels competitive with urban manufacturing to levels more typical in non-union and non-metro areas.

In 2007, meatpacking earnings averaged \$12 an hour. Janet Riley of the American Meat Institute said that "meat industry employers pay what is required to attract workers."

Kristin Collins, "Union wins a 16-year fight to organize hog plant," News & Observer, December 12, 2008. Jennifer W. Sanchez, "Two years after Swift raid: Latino community still reeling," Salt Lake Tribune, December 7, 2008. DeeDee Correll, "Colorado judge stops tax crackdown on illegal workers," Los Angeles Times, December 13, 2008. Kirk Semple, "A Somali Influx Unsettles Latino Meatpackers," New York Times, October 16, 2008.

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